Block practice · Statement of financial position and ratio calculations

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Statement of financial position: assets and liabilities

Calculate the current ratio

Calculate the acid test ratio

Calculate the operating profit margin

Return on capital employed (ROCE)

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Practice workbook · Statement of financial position: assets and liabilities

Current and non-current assets and liabilities, inventory, capital employed, and the purpose of the statement of financial position.

10 question parts: 1 worked-example retry and 9 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S3-23

1. Question 1 · part f · 3 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part f only.

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1 Most people recognise Heinz for the phrase '57 varieties' even though it now produces many more than the original 57 varieties. H J Heinz, the founder of the Heinz business, believed the phrase sounded lucky.

Kraft Heinz is a world-wide producer of food products. It was formed from the merger of Kraft Foods and Heinz in 2015. This created the third largest food and drinks business in the USA and the fifth largest food and drinks business in the world.

Kraft Heinz has over 24 different brands, including Greenseas in Australia and Nutri+Plus in New Zealand. America has the largest number of brands from Maxwell House to Cool Whip. *Kraft Heinz* produces many different products including tomato sauce, 'Mac&Cheese', pasta and its famous baked beans that are used and eaten by many people.

Kraft Heinz uses many methods to advertise its products. These include posters, billboards and leaflets in supermarkets.

(a) (i) Which **one** of the following is an example of primary market research?

Select **one** answer.

(1)

- ☒ **A** Published government statistics
- ☒ **B** Magazine article
- ☒ **C** Internet research
- ☒ **D** Focus groups

(ii) Which **one** of the following is an example of external communication?

Select **one** answer.

(1)

- ☒ **A** A presentation by the chairperson to its employees
- ☒ **B** Sending a customer details of a special offer
- ☒ **C** A departmental meeting
- ☒ **D** Training sessions for new employees

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1. Question 1 · part f · 3 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part f only.

On 13 September 2022 the share price of *Kraft Heinz* in America at 10.00 am was $36.55 and at 4.00 pm it was $35.06.

(iii) Which **one** of the following is the percentage decrease in the share price?

Select **one** answer.

(1)

- ☒ **A** 1.49%
- ☒ **B** 1.96%
- ☒ **C** 4.08%
- ☒ **D** 4.25%

Kraft Heinz uses price promotions to encourage customers to purchase more of its products. The price of a tin of baked beans in the US is $0.54. If 12 tins are purchased the price is reduced by 12.5%.

(iv) Which **one** of the following is the price of 12 tins of baked beans with the 12.5% promotional price discount?

Select **one** answer.

(1)

- ☒ **A** $5.67
- ☒ **B** $6.48
- ☒ **C** $56.25
- ☒ **D** $81.00

(v) Which **one** of the following would be a long-term source of finance for a sole trader?

Select **one** answer.

(1)

- ☒ **A** Trade credit
- ☒ **B** Overdraft
- ☒ **C** Personal savings
- ☒ **D** Share capital

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1. Question 1 · part f · 3 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part f only.

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(vi) Which **one** of the following is the break-even point?

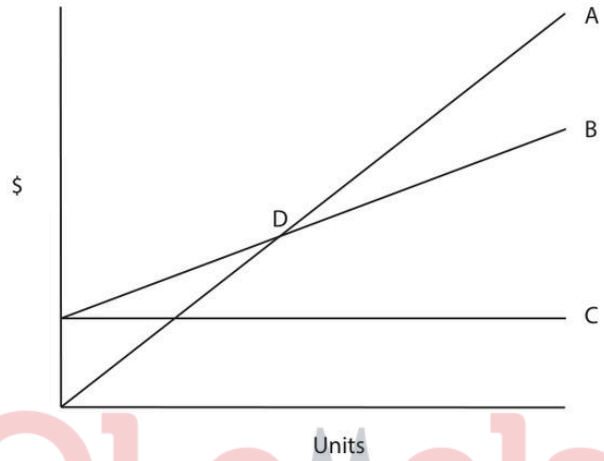


Figure 1

Select **one** answer. (1)

- ☒ **A**
- ☒ **B**
- ☒ **C**
- ☒ **D**

OLevels.COM SCHOOL

1. Question 1 · part f · 3 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part f only.

(b) Define the term **labour intensive production**.

(1)

(c) Define the term **trade bloc**.

(1)

(d) State **one** reason why *Kraft Heinz* prefers to train its employees using on-the-job training.

(1)

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In North America, a *Kraft Heinz* employee is paid a salary of $15 750. If employees reach their production target for 'Mac&Cheese' they receive a bonus of 14%.

(e) Calculate the total pay an employee would receive once the bonus is added to their salary. You are advised to show your working.

(2)

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1. Question 1 · part f · 3 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part f only.

(f) Explain **one** purpose for a business of the statement of financial position.

(3)

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1. Question 1 · part f · 3 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part f only.

Kraft Heinz is introducing a new variety of tomato sauce and has made changes to the recipe for its Mac&Cheese.

(g) Analyse the benefits to *Kraft Heinz* of using social media to collect market research data.

(6)

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(Total for Question 1 = 20 marks)

1. Question 1 · part f · 3 marks · Working and answer

Working and answer

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2. Question 3 · part a · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

3 Figure 1 is an extract from *Lavender's* Statement of Comprehensive Income. Use the information below and then answer the following questions.

	Bakery (000s MYR)	*L.café* (000s MYR)	*L.bistro* (000s MYR)
Revenue	149	75	65
Cost of sales	83	51	33
Gross profit	66	24	32
Gross profit margin	44.3%		49.2%

Figure 1

(a) Define the term **current liabilities**.

(1)

(b) Outline **one** reason why the revenue is higher for the Bakery shops rather than for *L.café* and *L.bistro*.

(2)

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2. Question 3 · part a · 1 mark · Working and answer

Working and answer

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3. Question 1 · part c · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part c only.

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1 *Nantgwynfaen Organic Farm (NOF)* is a farm growing a range of fruit and vegetables. It has a farm shop and offers accommodation with breakfast. It was set up by Amanda and Ken Edwards in West Wales, UK.

NOF supports farmers by selling local organic produce in its farm shop. The produce from the farm shop is served to the visitors staying overnight at the farm.

NOF is committed to being environmentally friendly by recycling, avoiding the use of packaging and reducing the use of electricity.

(a) (i) Which **one** of the following is an external source of finance?

(1)

Select **one** answer.

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Bank loan
- ☒ **D** Selling assets

(ii) Which **one** of the following is the name of a pricing strategy where a business sets a high price for a new product in the market?

(1)

Select **one** answer.

- ☒ **A** Penetration
- ☒ **B** Skimming
- ☒ **C** Competition
- ☒ **D** Promotional

(iii) Which **one** of the following types of discrimination is protected by legislation?

(1)

Select **one** answer.

- ☒ **A** Age
- ☒ **B** Ability
- ☒ **C** Social
- ☒ **D** Ethical

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3. Question 1 · part c · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part c only.

(iv) Which **one** of the following is a document employers would send to potential employees?

(1)

Select **one** answer.

- ☒ **A** Curriculum vitae
- ☒ **B** Letter of application
- ☒ **C** Newspaper advertisement
- ☒ **D** Person specification

NOF imports dried fruit from France. A kilogram (kg) costs €12.84.

The exchange rate is £1 (Pound sterling) = €1.16 (Euro).

(v) Which **one** of the following would *NOF* pay for 1kg of dried fruit in pounds sterling?

(1)

Select **one** answer.

- ☒ **A** £1.16
- ☒ **B** £11.07
- ☒ **C** £12.84
- ☒ **D** £14.00

NOF buys honey from a local farm for £1.60 a jar and sells it to customers for £3.60.

(vi) What is the markup on a jar of honey?

(1)

Select **one** answer

- ☒ **A** 1.6%
- ☒ **B** 2%
- ☒ **C** 125%
- ☒ **D** 250%

(b) Define the term **profit**.

(1)

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3. Question 1 · part c · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part c only.

(c) Define the term **non-current liabilities**.

(1)

(d) State **one** reason why *NOF* segments its target market by income.

(1)

Figure 1 is an extract from *NOF*'s statement of comprehensive income.

	£000s
Revenue	160
Cost of sales	70
Gross profit	90
Other operating expenses	10

Figure 1

(e) Calculate the operating profit margin. You are advised to show your working.

(2)

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3. Question 1 · part c · 1 mark · Working and answer

Working and answer

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4. Question 3 · part a · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

3 (a) Define the term **non-current assets**.

(1)

(b) Outline **one** disadvantage to *Can Culleretes* of increasing the amount of inventory it holds.

(2)

Figure 2 is an extract of financial information from *Can Culleretes*.

Sales revenue	€19 220
Cost of sales	€14 720
Gross profit	€4 500

Figure 2

(c) Calculate, to 2 decimal places, the gross profit margin. You are advised to show your working.

(2)

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4. Question 3 · part a · 1 mark · Working and answer

Working and answer

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5. Question 3 · part a · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part a only.

3 (a) Define the term **inventory**.

(1)

(b) Outline **one** method that *TBTS* might use to respond to greater competition.

(2)

In 2021, a *TBTS* toy shop had current liabilities of 36 000 SGD and current assets of 216 000 SGD.

(c) Calculate the current ratio for 2021. You are advised to show your working.

(2)

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5. Question 3 · part a · 1 mark · Working and answer

Working and answer

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6. Question 1 · part a.i · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part a.i only.

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1 *As We Grow* (*AWG*) is a clothing business in Iceland. The social objective of the business is to use natural materials, such as wool, and produce environmentally friendly products. It aims to design clothes that will last a long time, to encourage families to buy fewer clothes and reduce waste in society.

AWG's increasing product range now includes jumpers, dresses, shirts and baby clothes. These are produced in small workshops that employ family and friends. Waste is kept to a minimum and any leftover material is used to make scarves and hats. The business has one store in Iceland. It uses its website to advertise and sell its clothing online to customers in other countries. The business has received the Icelandic Design Award for its contribution to the environment.

(a) (i) Which **one** of the following is shown on the statement of financial position?

Select **one** answer.

(1)

- ☒ **A** Sales
- ☒ **B** Cost of sales
- ☒ **C** Current assets
- ☒ **D** Gross profit

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(ii) Which **one** of the following is an element of the marketing mix?

Select **one** answer.

(1)

- ☒ **A** Price
- ☒ **B** Partnership
- ☒ **C** Production
- ☒ **D** Profit

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6. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

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7. Question 1 · part a.iv · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a.iv only.

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1 *Café Pinch* is a small café based in Berlin, the capital city of Germany. It serves a range of hot and cold meals. The owner, Kumaran, trained in good Berlin restaurants and cafés before starting his own café business. It opened in December 2018. It has 10 seats in front of the café and 10 inside. It is located close to an underground station. Despite being surrounded by many other cafés, *Café Pinch* received 5 out of 5 in online reviews. The reviewers commented on the high-quality cooked food, filled Ciabattas, range of drinks and excellent customer service. The café is open 8am–5pm every day. It has a website which is used for information purposes only.

(a) (i) Which **one** of the following is an example of an internal source of finance?

Select **one** answer.

(1)

- ☒ **A** Overdraft
- ☒ **B** Crowdfunding
- ☒ **C** Retained profit
- ☒ **D** Share capital

(ii) Which **one** of the following is a result of average costs rising in a growing large business?

Select **one** answer.

(1)

- ☒ **A** Economies of scale
- ☒ **B** Diseconomies of scale
- ☒ **C** Purchasing economies
- ☒ **D** Financial economies

(iii) Which **one** of the following is the money left after all costs have been subtracted from revenue?

Select **one** answer.

(1)

- ☒ **A** Gross profit
- ☒ **B** Inflows
- ☒ **C** Loss
- ☒ **D** Profit

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7. Question 1 · part a.iv · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a.iv only.

(iv) Which **one** of the following is a debt payable after 12 months?

Select **one** answer.

(1)

- ☒ **A** Non-current liability
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Current asset

Café Pinch sells many filled Ciabattas. The most popular is mozzarella cheese and avocado, selling for €5.30. The cost of making this Ciabatta is €2.56.

(v) Which **one** of the following is the markup for the mozzarella cheese and avocado Ciabatta?

Select **one** answer.

(1)

- ☒ **A** 48%
- ☒ **B** 93%
- ☒ **C** 107%
- ☒ **D** 207%

Café Pinch wants to add French Fries to its menu. It will use British potatoes costing £0.82 per kilo.

The exchange rate is €1 (euro) = £0.84.

(vi) Which **one** of the following would *Café Pinch* pay in euros if it bought 50 kilos of potatoes?

Select **one** answer.

(1)

- ☒ **A** €59.52
- ☒ **B** €48.81
- ☒ **C** €42.00
- ☒ **D** €41.00

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7. Question 1 · part a.iv · 1 mark · Working and answer

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8. Question 1 · part a.iv · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part a.iv only.

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1 *Posh Pets Spain* (*PPS*) is a pet hotel in the village of Alhaurin el Grande, Spain. It is run by Rachel Goutorbe, an animal enthusiast, and her team of four pet specialists. *PPS* offers overnight accommodation with room for seven dogs or cats, a pet grooming service and a shop selling pet products, such as dog coats and dog leads. Pet grooming involves washing, cutting and combing a pet's coat.

(a) (i) Which **one** of the following is protected by legislation?

Select **one** answer.

(1)

- ☒ **A** Skills
- ☒ **B** Age
- ☒ **C** Experience
- ☒ **D** Ability

(ii) Which **one** of the following represents a star product on the Boston matrix?

Select **one** answer.

(1)

- ☒ **A** High market growth, high market share
- ☒ **B** High market growth, low market share
- ☒ **C** Low market growth, high market share
- ☒ **D** Low market growth, low market share

(iii) Which **one** of the following is the method of production where one unit of output is completed at a time?

Select **one** answer.

(1)

- ☒ **A** Lean
- ☒ **B** Flow
- ☒ **C** Batch
- ☒ **D** Job

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8. Question 1 · part a.iv · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part a.iv only.

(iv) Which **one** of the following is a current asset?

Select **one** answer.

(1)

- ☒ **A** Vehicle
- ☒ **B** Cash
- ☒ **C** Building
- ☒ **D** Factory

PPS imports handmade leather dog collars from the UK. Each dog collar costs £26.50.

The exchange rate is €1 (euro) = £0.84 (pound).

(v) Which **one** of the following is the total cost in euros when buying 20 dog collars from the UK?

Select **one** answer.

(1)

- ☒ **A** €22.56
- ☒ **B** €445.20
- ☒ **C** €630.95
- ☒ **D** €513.20

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8. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

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9. Question 1 · part d · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part d only.

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1 *Saha* is a small business in Türkiye (formerly known as Turkey) that opened in 2020 with 15 employees. It designs and manufactures robots which are used in hospitals, hotels and restaurants. In hospitals its robots are used to move medical supplies between departments. In hotels and restaurants, the robots are used to welcome customers as they arrive and deliver food and drinks to hotel rooms and restaurant tables. *Saha* provides a seven day a week customer service for all businesses buying its robots.

Many new businesses are entering the global robot market and are competing for market share. Competitors in Türkiye include *NIO, Zoox* and *Vention*.

Saha has ambitious growth plans and has started to design robots that will be used in the home to help people with cleaning, shopping, security and entertainment. It aims to become a multinational business within five years to manufacture robots in all continents of the world.

(a) (i) Which **one** of the following is a financial method used to motivate employees?

Select **one** answer. (1)

- ☒ **A** Job enrichment
- ☒ **B** Job rotation
- ☒ **C** Autonomy
- ☒ **D** Remuneration

(ii) Which **one** of the following is an example of secondary research?

Select **one** answer. (1)

- ☒ **A** Government reports
- ☒ **B** Surveys
- ☒ **C** Focus groups
- ☒ **D** Observations

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9. Question 1 · part d · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part d only.

(iii) Which **one** of the following would increase the break-even point?

Select **one** answer.

(1)

- ☒ **A** A decrease in the fixed costs
- ☒ **B** An increase in the variable costs
- ☒ **C** An increase in the selling price
- ☒ **D** A decrease in total costs

(iv) Which **one** of the following is provided by a person applying for a job?

Select **one** answer.

(1)

- ☒ **A** Job description
- ☒ **B** Curriculum vitae (CV)
- ☒ **C** Personal specification
- ☒ **D** Disciplinary and grievance procedures

Figure 1 shows an extract from a statement of comprehensive income in 2023.

	£
Sales	90 000
Cost of sales	11 000
Gross profit	79 000
Operating expenses	18 000

Figure 1

(v) Which **one** of the following is the operating profit in 2023?

Select **one** answer.

(1)

- ☒ **A** £29 000
- ☒ **B** £79 000
- ☒ **C** £72 000
- ☒ **D** £61 000

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9. Question 1 · part d · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part d only.

The currency of Türkiye is the Turkish lira (TRY).

In 2021 the cost of material for one robot was 80 000 TRY.

In 2023 the cost of material for one robot was 92 000 TRY.

(vi) Which **one** of the following is the percentage change in the cost of material for one robot between 2021 and 2023?

Select **one** answer.

(1)

- ☒ **A** 1.30%
- ☒ **B** 13.04%
- ☒ **C** 15.00%
- ☒ **D** 86.96%

(b) Define the term **stakeholder**. (1)

(c) Define the term **social enterprise**. (1)

(d) State **one** non-current asset that *Saha* is likely to have. (1)

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9. Question 1 · part d · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part d only.

The price of a battery pack for a *Saha* robot is $90 each.

In 2023 it sold five battery packs every month.

(e) Calculate the total revenue from the sale of all battery packs sold by *Saha* in 2023.
You are advised to show your working.

(2)

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(f) Explain **one** advantage to a business of having limited liability.

(3)

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9. Question 1 · part d · 1 mark · Working and answer

Working and answer

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10. Question 1 · part a.i · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part a.i only.

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1 Gianni Polvani opened his first gym, *Four Fitness*, over 20 years ago. He now employs 14 highly-qualified gym instructors in his two gyms. Both gyms are in Italy, one in Arezzo and the other in Castiglion Fiorentino.

The gym encourages its members to take part in all the physical activities it offers. Members can take part in a number of social activities as well.

Four Fitness has a website which is primarily for information only. The website details such things as opening hours and descriptions of available activities. It cannot be used to book activities or access personal training plans.

(a) (i) Which **one** of the following is a debt payable within 12 months?

Select **one** answer.

(1)

- ☒ **A** Current asset
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Non-current liability

(ii) Which **one** of the following is a pricing strategy where a business sets an initial high price for a product new to the market?

Select **one** answer.

(1)

- ☒ **A** Skimming
- ☒ **B** Competition
- ☒ **C** Penetration
- ☒ **D** Cost plus

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10. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

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Practice workbook · Calculate the current ratio

Calculating the current ratio as current assets divided by current liabilities, expressed as x:1 to the stated rounding.

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-CALC-17

1. Question 3 · part c · 2 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part c only.

3 (a) Define the term **fringe benefits**.

(1)

(b) Outline **one** way *Irsi Chocolatier* could keep customer loyalty.

(2)

Irsi Chocolatier has current assets of €26 000 and current liabilities of €14 852.

(c) Calculate, to two decimal places, the current ratio. You are advised to show your working.

(2)

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1. Question 3 · part c · 2 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part c only.

Irsi Chocolatier will need to consider many factors if it wants to introduce its new product of chocolate lollipops.

(d) Analyse the limitations for *Irsi Chocolatier* of using break-even charts to decide whether it should sell the new product.

(6)

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1. Question 3 · part c · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 4 · part a · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

4 In 2017 one of *Lavender's* outlets had current assets of 120 000 MYR and current liabilities of 90 000 MYR.

(a) Calculate to 2 significant figures the current ratio for 2017. You are advised to show your workings.

(2)

(b) Analyse the benefits to *Lavender* of using internal sources of finance for its expansion plans.

(6)

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2. Question 4 · part a · 2 marks · Working and answer

Working and answer

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3. Question 4 · part a · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part a only.

4 **Figure 2** is an extract from *NOF*'s financial information for 2020.

	£
Current assets	300 000
Stock	50 000
Current liabilities	220 000

Figure 2

(a) Calculate, to 2 decimal places, the current ratio for 2020. You are advised to show your working.

(2)

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3. Question 4 · part a · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part a only.

(b) Analyse the benefits to *NOF* of using personal savings to expand its product range.

(6)

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3. Question 4 · part a · 2 marks · Working and answer

Working and answer

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4. Question 3 · part c · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

3 (a) Define the term **inventory**.

(1)

(b) Outline **one** method that *TBTS* might use to respond to greater competition.

(2)

In 2021, a *TBTS* toy shop had current liabilities of 36 000 SGD and current assets of 216 000 SGD.

(c) Calculate the current ratio for 2021. You are advised to show your working.

(2)

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4. Question 3 · part c · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

(d) Analyse the importance of *TBTS* motivating its employees.

(6)

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4. Question 3 · part c · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 4 · part a · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part a only.

4 In 2019 *LEGO* had current assets of 34 946 million DKK and current liabilities of 12 763 million DKK.

(a) Calculate, to two decimal places, the current ratio in 2019. You are advised to show your working.

(2)

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5. Question 4 · part a · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part a only.

Quality has always been one of *LEGO*'s main values. It wants everything that it makes and sells to be the best so its toys can help children learn and develop. It has a motto that 'only the best is good enough'. The founder of *LEGO* set a company rule that 'No one must be able to do this, better than us'. He also stated that he wanted 'only the best people that money could buy' to work at the business.

(b) Analyse the benefits to *LEGO* of increasing the use of robotics in the manufacture of toys and games.

(6)

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5. Question 4 · part a · 2 marks · Working and answer

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6. Question 3 · part c · 2 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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3 In 2021 *M&M* moved from 20th to 2nd place as one of India's best workplaces.

(a) Define the term **autonomy**.

(1)

(b) Outline **one** reason why *M&M* might locate a new factory near to a labour force.

(2)

In 2020 *M&M* had current assets of 3 400 million Indian Rupees and current liabilities of 900 million Indian Rupees.

(c) Calculate, to 2 decimal places the current ratio for 2020. You are advised to show your working.

(2)

.....:1

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6. Question 3 · part c · 2 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(d) Analyse why *M&M* would want to compare its business with other vehicle manufacturers.

(6)

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6. Question 3 · part c · 2 marks · Working and answer

Working and answer

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7. Question 3 · part c · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part c only.

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3 *TUI* wants to maintain its reputation by continuing to provide quality holidays and experiences that customers will enjoy. This will encourage them to return to book future holidays with *TUI*.

(a) Define the term **multinationals**.

(1)

(b) Outline **one** reason why *TUI* offers employees working in its travel agencies a commission based on the number of holidays they sell.

(2)

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7. Question 3 · part c · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part c only.

Figure 1 shows the current assets and current liabilities for *TUI* in 2022.

2022	€ '000
Current assets	7 758 152
Current liabilities	5 654 468

Figure 1

(c) Calculate, to two decimal places, the current ratio for *TUI* for 2022. You are advised to show your working.

(2)

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7. Question 3 · part c · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part c only.

(d) Analyse the effect on *TUI* customers of an increase in interest rates.

(6)

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7. Question 3 · part c · 2 marks · Working and answer

Working and answer

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8. Question 4 · part a · 2 marks

2024 NOV · Paper 02

Further practice · Attempt part a only.

4 In 2022 the current assets for *Premier Inn* were £9 566 million and current liabilities were £5 447 million.

(a) Calculate, to two decimal places, the current ratio in 2022. You are advised to show your working.

(2)

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8. Question 4 · part a · 2 marks

2024 NOV · Paper 02

Further practice · Attempt part a only.

(b) Analyse the importance of making sure that guests have a quality service when staying at a *Premier Inn*.

(6)

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8. Question 4 · part a · 2 marks · Working and answer

Working and answer

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9. Question 1 · part e · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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1 *China Cycle Tours (CCT)* is a business that provides bicycle tours. It offers guided bicycle tours around the city and countryside of Shanghai, China. It was started in 2008 with the slogan, 'One world, Two wheels.'

CCT employs eight tour guides who are all bilingual, speaking Chinese and English. The guides help tourists in all aspects of their tour including bookings for accommodation, food, activities and visits to cultural sites. *CCT* delivers the bicycles directly to the hotels where the tourists are staying and provides free maps and locks for the bicycles.

CCT has received good reviews and ratings online. Customers have commented that the bicycle tours are extremely enjoyable and that the guides help them to experience the true culture of China.

(a) (i) Which **one** of the following is the production process that relies more on machinery than on labour?

(1)

Select **one** answer.

- ☒ **A** Kaizen
- ☒ **B** Job production
- ☒ **C** Just-in-time
- ☒ **D** Capital intensive

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(ii) Which **one** of the following is a pricing strategy that involves setting a low price for a product when it is first introduced to the market to quickly gain market share?

(1)

Select **one** answer.

- ☒ **A** Skimming
- ☒ **B** Competition
- ☒ **C** Penetration
- ☒ **D** Cost plus

9. Question 1 · part e · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

(iii) Which **one** of the following is most likely to improve the cash flow position of a small business to help prevent its failure?

(1)

Select **one** answer.

- ☒ **A** Paying overhead costs sooner
- ☒ **B** Paying suppliers later
- ☒ **C** Increasing the rate of pay for its employees
- ☒ **D** Decreasing the net cash flow

(iv) Which **one** of the following is a financial business aim?

(1)

Select **one** answer.

- ☒ **A** Challenge
- ☒ **B** Independence
- ☒ **C** Survival
- ☒ **D** Control

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CCT is considering purchasing six electric bicycles from England to increase the variety of bicycles it offers to its customers.

Each bicycle costs £550.

The exchange rate is £1 = 9.35 Chinese yuan (CNY).

(v) Which **one** of the following would *CCT* pay in CNY for **six** electric bicycles?

(1)

Select **one** answer.

- ☒ **A** 550.00 CNY
- ☒ **B** 3 300.00 CNY
- ☒ **C** 5 142.50 CNY
- ☒ **D** 30 855.00 CNY

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9. Question 1 · part e · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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Figure 1 is a financial extract from *CCT*.

	CYN
Total revenue	1 444 304
Total labour costs	750 288
Total material costs	234 465
Other costs	46 893

Figure 1

(vi) Using **Figure 1** which **one** of the following is correct for *CCT*?

Select **one** answer

(1)

- ☒ **A** It made a loss of 1 031 646 CYN
- ☒ **B** It made a loss of 412 658 CYN
- ☒ **C** It made a profit of 412 658 CYN
- ☒ **D** It made a profit of 1 031 646 CYN

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(b) Define the term **branding.**

(1)

(c) Define the term **autonomy.**

(1)

9. Question 1 · part e · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

(d) State **one** method of secondary market research *CCT* could use to collect market data.

(1)

In 2024 *CCT* had current assets of 561 258 CYN and current liabilities of 233 098 CYN.

(e) Calculate, to two decimal places, the current ratio for 2024. You are advised to show your working.

(2)

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(f) Explain **one** benefit to a business owner of operating as a private limited company.

(3)

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9. Question 1 · part e · 2 marks · Working and answer

Working and answer

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Practice workbook · Calculate the acid test ratio

Calculating the acid test ratio as current assets minus inventory, divided by current liabilities.

2 question parts: 1 worked-example retry and 1 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: BUS-CALC-18

1. Question 4 · part a · 2 marks

2024 NOV · Paper 01

Worked-example retry · Attempt part a only.

4 **Figure 3** is an extract from *Saha*'s statement of financial position.

	TRY (million)
Current assets	12
Inventory	4
Current liabilities	7

Figure 3

(a) Calculate, to two decimal places, the acid test ratio for *Saha*. You are advised to show your working.

(2)

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1. Question 4 · part a · 2 marks

2024 NOV · Paper 01

Worked-example retry · Attempt part a only.

(b) Analyse the benefits for *Saha* of becoming a multinational business.

(6)

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1. Question 4 · part a · 2 marks · Working and answer

Working and answer

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2. Question 4 · part a · 2 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a only.

4 The Indian Government has said that *HRMW* is one of the top 10 businesses in India. *HRMW* has been given more than 50 awards for its performance in exporting and for the quality of its products.

Figure 3 shows *HRMW*'s possible financial situation.

	Rupees (000)
Current assets	64 650
Inventory	42 450
Current liabilities	54 550

Figure 3

(a) Calculate, to two decimal places, the acid test ratio for *HRMW*.
You are advised to show your workings.

(2)

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2. Question 4 · part a · 2 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a only.

(b) Analyse why a bank would be interested in *HRMW*'s financial documents if it were to apply for a loan to develop new sports products.

(6)

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2. Question 4 · part a · 2 marks · Working and answer

Working and answer

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Practice workbook · Calculate the operating profit margin

Calculating operating profit margin as operating profit divided by revenue times 100, deriving operating profit from gross profit minus expenses when needed.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: BUS-CALC-15

1. Question 4 · part a · 2 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part a only.

4 **Figure 1** is an extract from *Irsi Chocolatier's* Statement of Comprehensive Income.

Revenue	€330 606
Gross profit	€80 282
Other operating expenses	€12 692

Figure 1

(a) Calculate, to two decimal places, the operating profit margin. You are advised to show your working.

(2)

.....%

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1. Question 4 · part a · 2 marks

2023 JUN · Paper 01

Worked-example retry · Attempt part a only.

(b) Analyse the importance of place to *Irsi Chocolatier*.

(6)

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1. Question 4 · part a · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 3 · part c · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

3 (a) Define the term **job share**.

(1)

(b) Outline **one** reason why high levels of customer satisfaction might be important to *Loaf*.

(2)

Figure 2 is an extract from *Loaf*'s statement of comprehensive income in 2018.

	£000s
Revenue	90
Gross profit	22
Other operating expenses	4

Figure 2

(c) Calculate the operating profit margin for *Loaf* in 2018. You are advised to show your working.

(2)

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2. Question 3 · part c · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

(d) Analyse how useful the information in **Figure 2** is to *Loaf*.

(6)

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2. Question 3 · part c · 2 marks · Working and answer

Working and answer

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3. Question 1 · part e · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part e only.

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1 *Nantgwynfaen Organic Farm (NOF)* is a farm growing a range of fruit and vegetables. It has a farm shop and offers accommodation with breakfast. It was set up by Amanda and Ken Edwards in West Wales, UK.

NOF supports farmers by selling local organic produce in its farm shop. The produce from the farm shop is served to the visitors staying overnight at the farm.

NOF is committed to being environmentally friendly by recycling, avoiding the use of packaging and reducing the use of electricity.

(a) (i) Which **one** of the following is an external source of finance?

(1)

Select **one** answer.

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Bank loan
- ☒ **D** Selling assets

(ii) Which **one** of the following is the name of a pricing strategy where a business sets a high price for a new product in the market?

(1)

Select **one** answer.

- ☒ **A** Penetration
- ☒ **B** Skimming
- ☒ **C** Competition
- ☒ **D** Promotional

(iii) Which **one** of the following types of discrimination is protected by legislation?

(1)

Select **one** answer.

- ☒ **A** Age
- ☒ **B** Ability
- ☒ **C** Social
- ☒ **D** Ethical

OLevels.com SCHOOL

3. Question 1 · part e · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part e only.

(iv) Which **one** of the following is a document employers would send to potential employees?

(1)

Select **one** answer.

- ☒ **A** Curriculum vitae
- ☒ **B** Letter of application
- ☒ **C** Newspaper advertisement
- ☒ **D** Person specification

NOF imports dried fruit from France. A kilogram (kg) costs €12.84.

The exchange rate is £1 (Pound sterling) = €1.16 (Euro).

(v) Which **one** of the following would *NOF* pay for 1kg of dried fruit in pounds sterling?

(1)

Select **one** answer.

- ☒ **A** £1.16
- ☒ **B** £11.07
- ☒ **C** £12.84
- ☒ **D** £14.00

NOF buys honey from a local farm for £1.60 a jar and sells it to customers for £3.60.

(vi) What is the markup on a jar of honey?

(1)

Select **one** answer

- ☒ **A** 1.6%
- ☒ **B** 2%
- ☒ **C** 125%
- ☒ **D** 250%

(b) Define the term **profit**.

(1)

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3. Question 1 · part e · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part e only.

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(c) Define the term **non-current liabilities**.

(1)

(d) State **one** reason why *NOF* segments its target market by income.

(1)

Figure 1 is an extract from *NOF*'s statement of comprehensive income.

	£000s
Revenue	160
Cost of sales	70
Gross profit	90
Other operating expenses	10

Figure 1

(e) Calculate the operating profit margin. You are advised to show your working.

(2)

.....%

3. Question 1 · part e · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part e only.

(f) Explain **one** strategy a small business might use to extend the product life cycle of one of its products.

(3)

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3. Question 1 · part e · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 4 · part a · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part a only.

4 *NEXT* continually monitors progress so that it can measure the success of its business. It aims to do this through improving manufacturing techniques and cutting costs, whilst still maintaining the quality of the goods produced.

Figure 2 shows selected financial information for *NEXT* in 2019.

	2019 (£m)
Revenue	4 221
Operating profit	590

Figure 2

(a) Calculate to two decimal places the operating profit margin for *NEXT* in 2019. You are advised to show your working.

(2)

.....%

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4. Question 4 · part a · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part a only.

(b) Analyse the effects for *NEXT* of an increase in UK interest rates.

(6)

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4. Question 4 · part a · 2 marks · Working and answer

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5. Question 1 · part e · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

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1 (a) (i) Which **one** of the following is an advantage of primary market research?

(1)

Select **one** answer.

- ☒ **A** It is a more up to date method of research
- ☒ **B** It is less time-consuming than secondary research
- ☒ **C** It is cheaper than other types of market research
- ☒ **D** It is only done by market-research agencies

(ii) Which **one** of the following is a financial objective?

(1)

Select **one** answer.

- ☒ **A** Personal satisfaction
- ☒ **B** Market share
- ☒ **C** Independence
- ☒ **D** Control

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5. Question 1 · part e · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

Figure 1 shows selected financial information for a pottery business.

Number of ceramic bowls sold per day	200
Price per bowl	£12.00
Variable cost per bowl	£3.00
Fixed costs per day	£600

Figure 1

(iii) Which **one** of the following is the total revenue for a day?

(1)

Select **one** answer.

☒ **A** £600

☒ **B** £1 800

☒ **C** £2 400

☒ **D** £7 200

(iv) Which **one** of the following would be a disadvantage for a partner in a partnership?

(1)

Select **one** answer.

☒ **A** Sharing the workload

☒ **B** Liability for all debts

☒ **C** Access to more capital

☒ **D** Sharing skills

Huawei's brand value for 2018 was $7.6 billion. *Huawei* plans to increase its brand value by 14% in 2019.

(v) What would be the brand value in 2019?

(1)

Select **one** answer.

☒ **A** $6.20 billion

☒ **B** $7.74 billion

☒ **C** $8.66 billion

☒ **D** $10.64 billion

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5. Question 1 · part e · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

(vi) Which **one** of the following is a source of long-term finance?

(1)

Select **one** answer.

- ☒ **A** Overdraft
- ☒ **B** Sales revenue
- ☒ **C** Trade credit
- ☒ **D** Bank loan

(b) Define the term **sole trader**.

(1)

(c) Define the term **demographics**.

(1)

(d) State **one** reason why *Huawei* may use share capital as a source of finance.

(1)

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Turn over ▶

5. Question 1 · part e · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

Figure 2 is part of the statement of comprehensive income for *Huawei* in 2018.

	(CNY) million
Revenue	721 202
Operating profit	73 287

Figure 2

(e) Calculate, to two decimal places, the operating profit margin for *Huawei*. You are advised to show your working.

(2)

..... %

(f) Explain **one** advantage for a business of using **sponsorship**.

(3)

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P 6 6 4 7 5 R A 0 6 2 0

5. Question 1 · part e · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 3 · part c · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

3 (a) Define the term **secondary sector**.

(1)

(b) Outline **one** way *Café Pinch* could use social media to promote its business.

(2)

Figure 1 is an extract of the statement of comprehensive income for *Café Pinch*.

Revenue	€103 825
Gross profit	€66 842
Other operating expenses	€5 782

Figure 1

(c) Calculate, to two decimal places, the operating profit margin. You are advised to show your working.

(2)

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P 7 5 8 4 2 A 0 1 2 2 0

6. Question 3 · part c · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(d) Analyse **two** factors *Café Pinch* might consider when measuring its success.

(6)

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6. Question 3 · part c · 2 marks · Working and answer

Working and answer

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7. Question 4 · part a · 2 marks

2025 NOV · Paper 02

Further practice · Attempt part a only.

4 **Figure 3** shows an extract from a statement of financial income.

	$ (US Dollars)
Revenue	218 000
Gross profit	112 000
Other operating expenses	94 000

Figure 3

(a) Calculate, to **two** decimal places, the operating profit margin. You are advised to show your workings.

(2)

.....%

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7. Question 4 · part a · 2 marks

2025 NOV · Paper 02

Further practice · Attempt part a only.

(b) Analyse the purpose of market research for *Samsung*.

(6)

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7. Question 4 · part a · 2 marks · Working and answer

Working and answer

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Practice workbook · Return on capital employed (ROCE)

Calculating ROCE as operating profit divided by capital employed times 100.

2 question parts: 1 worked-example retry and 1 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-CALC-16

1. Question 4 · part a · 2 marks

2024 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part a only.

4 **Figure 2** is an extract of financial information from *Café Pinch*.

Operating profit	€84 054
Current assets	€75 000
Current liabilities	€63 000
Capital employed	€266 058

Figure 2

(a) Calculate, to two decimal places, the return on capital employed (ROCE). You are advised to show your working.

(2)

.....%

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1. Question 4 · part a · 2 marks

2024 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part a only.

(b) Analyse how *Café Pinch* could use market segmentation to target its customers.

(6)

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1. Question 4 · part a · 2 marks · Working and answer

Working and answer

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2. Question 3 · part c · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part c only.

3 (a) Define the term **span of control**.

(1)

(b) Outline **one** way *Ocean Vibes* may promote its business.

(2)

Figure 2 shows an extract from financial statements of a business in 2023.

	€
Gross profit	220 000
Operating expenses	160 000
Operating profit	60 000
Capital employed	80 000

Figure 2

(c) Calculate the return on capital employed (ROCE). You are advised to show your working.

(2)

..... %

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P 7 8 9 6 9 A 0 1 2 2 0

2. Question 3 · part c · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part c only.

The owners of *Ocean Vibes* plan to recruit additional tour guides for the business.

(d) Analyse the advantages to *Ocean Vibes* of using on-the-job training for new workers.

(6)

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2. Question 3 · part c · 2 marks · Working and answer

Working and answer

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